

Traders Dynamic Index (TDI) Comprehensive Guide

A Complete Manual on Technical Definitions, Components, and Execution Strategies

1. Technical Definitions & Calculations

The Traders Dynamic Index (TDI) is a hybrid indicator that combines the Relative Strength Index (RSI), Moving Averages (MA), and volatility-driven bands (Bollinger Bands) within a single sub-window. It eliminates lag and normalizes volatile price action into smooth structural indicators.

Component / Line	Underlying Technical Formula	Core Trading Function
Green Line (RSI Price Line)	13-Period RSI smoothed using a 2-Period Simple Moving Average (SMA) .	Tracks fast, short-term price momentum and market velocity.
Red Line (Signal Line)	A 7-Period Simple Moving Average (SMA) calculated from the Green Line's output.	Acts as the immediate trigger line for executive crossovers.
Blue Lines (Volatility Bands)	34-Period Bollinger Bands (standard deviation bands) derived from the RSI data.	Defines market expansion, compression, and overextended extremes.
Yellow Line (Market Base Line)	A 34-Period Simple Moving Average (SMA) sitting exactly as the median line of the Blue Bands.	Identifies the overall macroeconomic trend direction and bias.

2. Strategic Execution Framework

- **Step 1: Determine the Macro Trend Bias** – Observe the Yellow Market Base Line. When price action and the Yellow Line hover above the 50 level, look exclusively for buy setups. When they trend below 50, favor sell setups.
- **Step 2: Isolate Volatility Extremes** – Wait for market overextension. High-probability setups occur when the Green Line breaks completely outside the Blue Volatility Bands (above the 68 overbought limit or below the 32 oversold limit).
- **Step 3: Trigger the Trade Crossover** – Execute entry when the Green Line crosses back over the Red Line. Buy when Green crosses above Red from an oversold floor. Sell when Green crosses below Red from an overbought ceiling.

- **Step 4: Filter Out False Breaks** – Avoid trading crossovers when the Yellow Line is perfectly flat or horizontal. A flat midline indicates a consolidation/sideways market where crossovers generate rapid false signals.

3. Risk Management & Contextual Application

Always cross-reference your TDI entry with standard candlestick patterns or structural support and resistance levels. Position sizing must account for the volatility shown by the width of the Blue Bands; wider bands dictate wider stop-losses due to higher market variance.

This technical guide is for educational purposes only. Past performance does not guarantee future financial results.